



BAE Systems PLC

LSE: BA.

Exchange	LSE
Sector	Industrials (Defence)
Price	£18.49
52 Week High/Low	£21.59/11.71
Target Price	£35 (58% upside)
Market Capitalization	£55.46 B
Price/Earnings	28.11
Enterprise Value/EBITDA	16.60
Beta	0.68 (5Y Adjusted)
Dividend Yield	1.84%
Return on Equity	17.64%
Debt/Equity	0.87
ESG Rating (MSCI/S&P)	AA/98

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Research Report

Edinburgh University Trading and Investment Club



LSE: BA.

BAE Systems PLC

Investment Thesis

We are recommending buying BAE Systems (LSE: BA.) with a 12-month target of £35, suggesting upside potential for 58% from the closing price of £22.04 on March 05, 2026. Target is solely based on DCF valuation using reasonable assumptions of EV/EBITDA multiple of 20x and WACC of 7.19% based on company's own as well as its peer's properties. We believe that company is in a unique position to capitalize the rising demand for defence products around the world as well as the cyber security demand caused by exponential rise in AI.

BAE Systems stands out as adequately valued company in the defence and aerospace sector with sufficient room for growth through its excellent execution strategy on record order backlog (£83.6 bn.) and appropriate management control. Amid the recent geopolitical tensions, despite being unfortunate circumstances for the world, will present an opportunity for defence and aerospace companies. Additionally, the plans of all its major customers (US, UK and Europe) to accelerate and increase their defence spending will directly benefit BAE. Moreover, the attack on Saudi Arabia (3rd biggest customer of BAE) by Iran will demand greater investment in, and autonomy over their own defence capabilities.

Introduction

BAE Systems headquartered in London, is the largest defence company in Europe in terms of Revenue earned (2024) and the second largest by Market Capitalization. Company operates in and is among the leaders in five segments namely: Air Defence, Maritime, Platforms & Services, Electronic Systems, and Cyber & Intelligence services. BAE earns its revenue primarily from US (~48%), UK (~27%) and Saudi Arabia (~11%), while having small but growing presence in other regions that include Qatar, Australia and Asia-Pacific. Company earned £27.5 B TTM, with healthy Net Profit Margin of 7.4%. As of 2025, company has an order backlog of ~£78 B (2.8x 2025 Revenue of £28.3 B guidance by management).

Company Overview

BAE Systems is Europe's largest defence contractor and one of the most strategically embedded suppliers within Western military infrastructure. The company designs and manufactures a broad portfolio of defence platforms, including fighter aircraft, nuclear submarines, naval vessels, armoured vehicles, satellites, and electronic warfare systems. Its customer base is largely governmental, with roughly 98% of revenue generated from sovereign defence budgets. While headquartered in the United Kingdom, BAE operates as a transatlantic defence supplier, with approximately 45% of revenue generated in the United States, 25% in the UK, and 11% in Saudi Arabia.

Scale and financial visibility are primary characteristics of its business model. In FY2025, BAE generated £30.7B in revenue (+10% YoY), £3.32B in operating profit (+12%), and £2.16B in free cash flow. The company operates across five primary segments, from Air, Electronic Systems, Maritime, to Platforms & Services, and Cyber, offering diversification across multiple defence domains while maintaining strong positions in each. Importantly, BAE carries an A-credit rating from the major agencies, reflecting a strong balance sheet profile within the defence sector.

The key metric used to assess BAE's future revenue base is its order backlog. The company currently holds £83.6B in contracted orders, equivalent to roughly 2.7 years of revenue already secured through signed government agreements. New orders reached £37B in FY2025 versus £30.7B delivered, producing a book-to-bill ratio of 1.2x and indicating continued backlog expansion. Long-cycle flagship programmes including its SSN-AUKUS submarines, GCAP next-generation fighter, F-35 components, Typhoon aircraft production, and Dreadnought nuclear deterrent submarine support the company's revenue trajectory within the next decade.

Industry Overview

The global defence and aerospace sector has entered a structural inflection point. NATO member states have committed to a 5% of GDP defence spending target by 2035, compared to 2% historically, representing a step-change that fundamentally re-rates the long-term revenue environment for European defence primes. In 2024–2025, European governments executed the largest sustained re-armament cycle since the Cold War, driven by Russia's continued aggression in Ukraine and growing concerns over US alliance reliability under shifting political leadership. BAE Systems is the primary beneficiary of this structural shift.

Porter's 5 Forces Analysis

Porter's Five Forces (1979, 1980) provides a structural framework for assessing the competitive intensity and long-term profitability of the global defence and aerospace industry. Applied to BAE Systems, the framework reveals a highly favourable competitive structure: high barriers to entry, limited substitutes, and concentrated market power in the hands of incumbent primes.

Force	Intensity	Assessment
Threat of New Entrants	LOW	Extremely high barriers: decades-long programme expertise, sovereign security clearances, multibillion-pound R&D investment and classified IP. No new entrant has scaled into a Tier-1 prime contractor in over 30 years. Capital requirements for a nuclear submarine or 6th-gen fighter programme are prohibitive.
Bargaining Power of Buyers	MEDIUM	Buyers are sovereign governments (UK MoD, US DoD, KSA) which hold monopsony power and can shift procurement. However, single-source programmes (Astute-class, Typhoon) and long sustainment tails create bilateral dependency. Governments are increasingly locked-in once capital committed.
Bargaining Power of Suppliers	MEDIUM-HIGH	Top 5% of suppliers control ~60% of critical component flow. Engine suppliers (Rolls-Royce) wield significant pricing leverage - propulsion systems account for up to 25% of Typhoon unit costs. Supply chain lead times for aerospace-grade titanium rose ~40% post-2022. BAE hedges ~70% of commodity exposure.
Threat of Substitutes	LOW	No credible substitute for sovereign defence capability. Diplomacy or deterrence cannot replace physical platforms. The shift to cyber and AI-driven warfare expands rather than replaces BAE's addressable market (EW, ISR, autonomy). GCAP/Tempest positions BAE at the frontier of next-gen air dominance.
Competitive Rivalry	MEDIUM	Intense at programme-award stage: Lockheed Martin (\$67bn revenue), Northrop Grumman (\$39bn), Thales, Leonardo, and emerging Korean OEMs all compete on major bids. However, once awarded, long-term contracts insulate BAE from rivalry for decades. R&D investment of ~£1.5bn p.a. sustains technological differentiation.

Strategic Insight - Porter's Five Forces: The competitive configuration BAE operates within is exceptional by any cross-sector comparison. Entry barriers are effectively permanent, substitutes do not exist at the platform level, and post-award programme lock-in structurally converts sovereign buyer concentration into a pricing and cash flow advantage for the incumbent. The primary risk is supply chain concentration, which BAE manages through scale, vertical integration, and its ~£1.5bn p.a. R&D investment.

SWOT Analysis

The SWOT matrix below synthesises BAE's internal strategic capabilities against the structural tailwinds and risks presented by the re-armament cycle, geopolitical volatility, and evolving sovereign technology requirements.

STRENGTHS - Record £83.6bn order backlog - decades of visibility - Europe's largest defence prime; 7th globally by revenue - Multi-domain portfolio : Air, Maritime, Land, Cyber, Space - GCAP/Tempest 6th-gen air programme prime contractor - Milestone-based FCF with government-grade earnings quality £1.53bn returned to shareholders in FY2025	WEAKNESSES - Revenue concentration: UK MoD + US DoD = majority of sales - Top 5% suppliers' control ~60% of critical component flows - Complex multi-decade programmes expose to execution risk - Engineering wage inflation ~6.5% amid specialist shortage - US entity (BAE Inc.) structurally separated from UK operations
OPPORTUNITIES - NATO 5% GDP commitment by 2035, step-change in procurement - AUKUS: £274bn+ submarine programme through 2055 - Ball Aerospace (\$5.6bn) - space and C4ISR expansion 16× ramp in 155mm artillery shell output for EU re-stocking - Autonomous/drone systems - BAE now largest in Europe (ex-Ukraine)	THREATS - US political volatility and procurement de-prioritisation risk - Titanium supply chain disruption, lead times +40% - Korean OEM competition in export naval/land tenders - Budget austerity reversal risk in European defence pledges - ITAR/export licence restrictions on ~20% of Saudi/ME revenue

Business Model

BAE Systems operates as a diversified, multi-domain prime contractor and systems integrator. Its business model is defined by five structural pillars that collectively underpin predictable, high-quality earnings and cash generation across economic cycles.

Pillar	Description & Economics	Investment Significance
Government-Backed Milestone Contracting	Long-term sovereign contracts structured around programme milestones. UK MoD, US DoD and NATO allies serve as counterparties — eliminating credit risk. Payment certainty independent of macro cycles, typically spanning 5–30 years.	<i>Sovereign counterparties eliminate credit risk. Cash flow visible 5–30 years ahead, underpins dividend and buyback programme.</i>
Multi-Domain Portfolio Across the Kill Chain	Air (Typhoon, F-35, GCAP), Maritime (Astute, Type 26), Land (CV90, M777), Electronic Warfare, Cyber, Space (Ball Aerospace) and Munitions, covering the full spectrum of modern multi-domain operations. No single programme >15% of group revenue.	<i>Revenue diversification across 5 segments. Beneficiary of the entire defence spending cycle. Programme losses ring-fenced; group is structurally protected.</i>
Sustainment & Through-Life Support	Post-delivery maintenance, upgrade cycles and depot-level overhaul. Air sustainment backlog alone exceeds £26.8bn. Asset-light	<i>Recurring, margin-accretive revenue, not one-time platform sales.</i>

	relative to new-build; margin-accretive. Typhoon ECRS Mk2 (£453m) illustrates lifecycle extension economics.	<i>Structurally growing share of the revenue mix as legacy fleets age.</i>
Sovereign Industrial Footprint	Govan & Barrow (naval), Warton & Samlesbury (aerospace), Yorkshire (munitions) classified as UK national strategic assets. ~107,000 employees; 6,800 apprentices and graduates in training (FY2024). 16× ramp in 155mm munitions output.	<i>National strategic status creates a political barrier to contract non-renewal. Sovereign positioning locks in future prime contracts and enables premium pricing in constrained capacity cycles.</i>
Disciplined Financial Model	~10.5% underlying EBIT margin; FCF conversion above 70% of underlying net earnings. Three-year FCF target upgraded to >£6bn (2024–2026). FY2025: £1.53bn returned to shareholders: £502m buyback (30m shares) + dividend of 36.3p (+10% YoY).	<i>EPS growth is self-funded through backlog conversion and capital discipline. Buybacks mechanically accrete EPS. FY2026 guided: Sales +7–9%, EBIT +9–11%, FCF >£1.3bn.</i>

Catalysts

The following three catalysts form the basis of our BUY thesis. Each catalyst is independently sufficient to justify a long position in BAE Systems. Taken together, they constitute a structurally robust, multi-year investment case with earnings visibility extending to 2035 and beyond. Importantly, none of these catalysts necessitate valuation multiple expansion; instead, fundamental earnings growth and capital returns provide upside.

Long-Term Partner for Allied Defence Capabilities - Structural Revenue Insulation from US Political Risk - BAE Systems' earnings are anchored to UK and European defence priorities rather than US procurement cycles. The £453m Typhoon ECRS Mk2 radar contract exemplifies this: it extends the Typhoon platform's upgrade and sustainment lifecycle by a decade, reinforces export competitiveness against Rafale and F-35 in global tenders, and delivers cash-flow visibility fully independent of US political volatility. In an environment characterised by US retrenchment from NATO commitments under shifting political administrations, BAE's alignment with NATO's European core is a structural differentiator. The UK MoD has committed to increasing defence spending to 2.5% of GDP by 2027, with a stated ambition of 3%, each percentage point represents approximately £3.5bn of incremental annual procurement. BAE captures a structurally dominant share of this incremental spend.

Investment Implication: *Revenue insulation from US DoD political risk; UK/European sovereign alignment captures 2.5–3% GDP defence ramp from 2027.*

Execution-Led EPS Growth - Backlog Conversion Without Reliance on New Wins or Multiple Expansion - BAE's equity upside is rooted in fundamental delivery converting its £83.6bn order backlog into revenues, margins, and free cash flow rather than valuation re-rating. The NATO and allied defence budget structural shift has eliminated the traditional procurement cycle risk: governments are not cutting budgets but accelerating them. BAE's entrenched positions across Typhoon (ECRS Mk2), Type 26 (AUKUS), F-35 (aft fuselage, global fleet sustainment), and GCAP (prime contractor) underpin a multi-year earnings trajectory that is visible, contracted, and government-backed. FY2026 guidance of +9–11% EBIT growth on +7–9% revenue growth implies continued EBIT margin expansion to approximately 10.5%, with FCF conversion above 70% of underlying net earnings. This is execution-led compounding, not macro-dependent speculation.

Investment Implication: *EPS growth is self-funding through backlog conversion. FY2026 guidance: EBIT +9–11%, FCF >£1.3bn in FY2026 alone.*

Disciplined Capital Returns - Systematic EPS Accretion Through FCF Deployment - BAE systematically converts contracted earnings into predictable free cash flow through its milestone-based, government-backed contract structure, then deploys that cash through a disciplined capital return programme that mechanically accretes EPS and total shareholder return. In FY2025, BAE returned £1.53bn to shareholders: £502m in buybacks (30m shares retired, ~0.9% annual share count reduction) and 36.3p DPS (+10% YoY). The 3-year FCF target has been upgraded to >£6bn (2024–2026 combined), implying a sustained buyback and dividend capacity that is structurally embedded, not discretionary. Each year's buyback at a discount to intrinsic value accretes EPS by ~0.9–1.0%, compounding on top of underlying earnings

growth to produce superior shareholder returns. The dividend has grown at a 10%+ CAGR for the past 5 years.

Investment Implication: *Capital returns are structurally embedded, not discretionary. Mechanical EPS accretion through share count reduction compounds on top of underlying EBIT growth.*

Investment Synthesis: Why BAE Systems Represents a Structurally Differentiated Long

The convergence of (i) European sovereign re-armament anchored to NATO's 5% GDP commitment, (ii) a record £83.6bn backlog that mechanically converts into EPS growth without reliance on new wins, and (iii) a disciplined FCF-to-capital-return flywheel creates a compounding, self-reinforcing investment thesis. BAE is not a geopolitical trade. It is a structural compounder with government-grade earnings quality, a decade-long backlog, and capital return mechanics that support EPS accretion independent of valuation multiple movements. The risk/reward is asymmetric: downside is bounded by sovereign contract continuity; upside is driven by execution on a pipeline that is already contracted.

Competitive Landscape

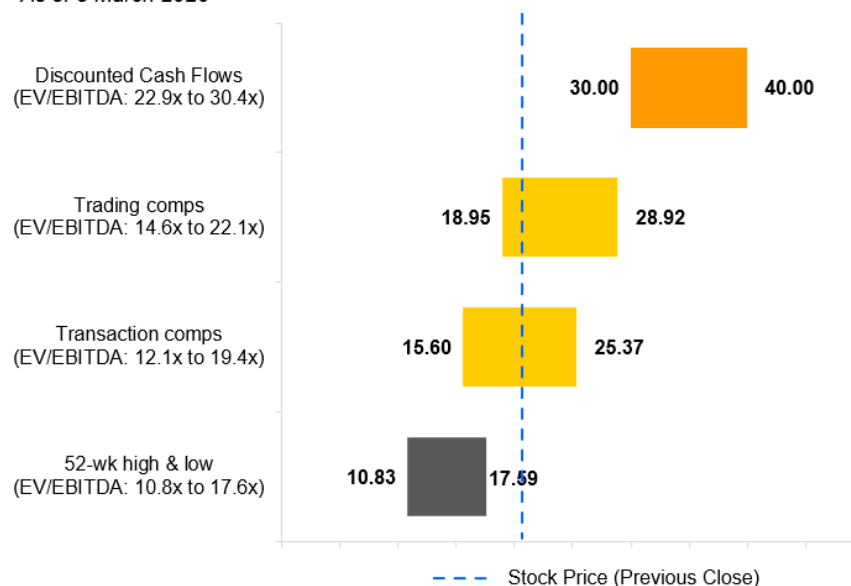
BAE's competitive advantage is primarily structural than cyclical. The company has been deeply embedded in Western defence systems to the point where replacement would be operationally and economically impractical. The UK's nuclear submarine programme is built around BAE as the sole domestic manufacturer, while the global F-35 fighter programme heavily relies on BAE-produced fuselage structures and electronic warfare systems for every aircraft delivered. These roles uniquely position the company not simply as a supplier but as a core part of defence programmes governments depend on for decades.

The durability of BAE's market position anchors on the significantly long lifecycle of defence programmes. Major platforms typically run for 30-50 years, and once a government selects a prime contractor, switching suppliers would require redesigning the entire system, on top of incurring costly delays. Its flagship programmes such as SSN-AUKUS, GCAP, and F-35 generate multi-decade streams of production, maintenance, and upgrade revenue. BAE also holds a unique transatlantic footprint, with roughly 45% of revenue generated in the United States and a large workforce cleared for sensitive programmes, the company is positioned to benefit simultaneously from both US and European defence spending growth.

While competition exists, it is quite fragmented across niches rather than threatening BAE's core programmes. Some large defence companies compete with BAE in areas like space or advanced weapons, while others mainly compete by producing land equipment such as tanks and armoured vehicles faster. Technology firms are increasingly winning defence software contracts but still lack the industrial capability required for complex platforms such as submarines, combat aircraft, or warships. In practice, many European defence companies operate as partners rather than pure rivals on major programmes, highlighting the consortium-driven structure that essentially represents the modern defence industry.

Valuation

BAE Systems plc (LSE:BA.)
Indicative Share Price (in GBP)
As of 5 March 2026



Income Approach

Discounted Cash Flow Method

For Cash Flow valuation method, we used the DCF Valuation method forecasting FCFF for 5 years and then discounting it back. However, rather than used FCFF, we used FCFF/share approach and then discounted them back as the company has been buying back its shares and will continue to do so. It would be more appropriate as FCFF per share will increase as number of shares decrease and so will the value of the company.

Assumptions: We used very conservative assumptions in our model, with WACC of 7.19% and Exit EV/EBTIDA multiple of 20x consistent with its peers. With these assumptions we got implied value per share of £39 (range of £30-£39) stating FY2027 PE of 48x, which again will bring the PE of company in line with the industry.

Market Approach

Comparable Companies Analysis

Ticker	Company	Country	Business description	Market cap	Revenues (LTM)	5Y Revenue CAGR	Net Income Margin (LTM)	D/E ratio	Return on Equity (LTM)	Dividend Yield	EV/EBITDA
LSE:BA.	BAE Systems plc	United Kingdom	Europe's largest defence company. Designs, builds, and maintains fighter jets (Typhoon, F-35 components, GCAP), nuclear submarines (sole UK builder), warships, armoured vehicles, satellites, electronic warfare systems, and cybersecurity tools across five segments. ~98% government revenue; geographic split: US 46%, UK 28%, Saudi Arabia 10%, Australia 5%.	63,942.26	28,336.00	7.5%	7.3%	14.2%	18.1%	1.7%	16.8x
ENXTPA:HO	Thales S.A.	France	French multi-domain defence and technology group operating across defence systems (55.6% of revenue), aerospace (26.9%), and digital identity & security (17.6%). Products span air defence, naval combat systems, electronic warfare, radars, cyber, avionics, and satellite systems. Closest European peer to BAE in segment breadth, though with meaningful civil/commercial exposure (~40-45%).	48,574.86	22,136.40	2.3%	7.6%	12.6%	21.1%	1.6%	14.6x
NYSE:HII	Huntington Ingalls Industries, Inc.	USA	America's sole builder of aircraft carriers and a primary nuclear submarine yard — the US structural equivalent of BAE's Barrow-in-Furness monopoly. Operates through Ingalls (surface combatants, 24%), Newport News (nuclear carriers and submarines, 52%), and Mission Technologies (C5ISR, cyber, autonomous systems, 24%). ~100% US government revenue.	16,527.84	12,484.00	5.3%	4.8%	18.0%	12.4%	1.3%	14.8x
NYSE:LMT	Lockheed Martin Corporation	USA	World's largest defence contractor. Operates across Aeronautics (39%, including F-35), Rotary & Mission Systems (25%), Missiles & Fire Control (19%), and Space (17%). The only company in the comp set that matches BAE's multi-domain scope at greater scale. Simultaneously BAE's largest customer (F-35 fuselages) and primary global benchmark. ~72% US revenue.	150,702.56	75,048.00	3.5%	6.7%	15.1%	76.9%	2.1%	19.8x
XTRA:HAG	Hensoldt AG	Germany	German defence sensor and electronics specialist spun out of Airbus Defence. Two segments: Sensors (83%) covering radar, electronic warfare, signals intelligence, and secure communications; and Optronics (17%) covering night vision, thermal imaging, and submarine periscopes. The purest European comp for BAE's Electronic Systems segment specifically, though with no air, maritime, or land exposure.	8,298.68	2,455.00	15.0%	3.6%	19.7%	9.2%	0.8%	22.1x

We screened for publicly listed multi-domain defence contractors matching BAE's business model (multi-segment integration across air, maritime, electronics, and cyber), geographic exposure (US and European NATO markets), government customer concentration (~80 to 100%), and comparable growth and profitability profiles (BAE: 7.5% 5-year revenue CAGR, 7.3% net margin, 18.1% ROE, 14.2% D/E).

The 14.6x to 22.1x EV/EBITDA range implies a share price of £18.95 to £28.92, with the width driven by the spread between slower-growth naval-focused peers at the low end and European rearmament beneficiaries offering growth premiums at the high end; BAE's current 16.8x sits in the lower half of this range, suggesting modest undervaluation relative to the peer median.

The trading comps range sits entirely above the 52-week range (£10.83 to £17.59) because the peer set reflects the sector-wide rerating driven by structural rearmament tailwinds that have pushed defence multiples well beyond where BAE traded for most of the past year.

Precedent Transactions Analysis

Target/Issuer	Public vs Private	Transaction Type	Buyers/Investors	Sellers	Long Business Description (Target/Issuer)	M&A Closed Date	Majority / Minority Stakes	Headquarters - Country/Region (Target/Issuer)	EV/EBITDA, Unadjusted	EV/EBITDA, Adjusted
Raytheon Company	Private	Merger/Acquisition	RTX Corporation (NYSE:RTX)	Undisclosed	ulti-domain US defence prime spanning five segments: integrated air and missile defence (Patriot, NASAMS), missiles, space and airborne sensors, intelligence and cyber services, and naval combat/radar systems. Served ~50 international customers alongside the US DoD. Merged with United Technologies in 2020 to form RTX Corporation.	04/03/2020	Majority	United States	22.0x	19.4x
Ultra Electronics Holdings Limited	Private	Merger/Acquisition	Cobham Limited	Undisclosed	UK defence electronics specialist across three divisions: submarine sonar and torpedo defence, naval power systems and nuclear reactor controls, and airborne/vehicle electronic systems. Core customer set was UK MoD, US DoD, and Five Eyes allies on classified programmes. Acquired by Cobham (PE-backed) in 2022 for \$3.8B.	08/01/2022	Majority	United Kingdom	17.3x	15.3x
Teledyne FLIR LLC	Private	Merger/Acquisition	Teledyne Technologies Incorporated (NYSE:TDY)	Undisclosed	World's broadest provider of thermal imaging, infrared sensors, and integrated sensing systems across defence, industrial, and commercial markets. Defence applications include airborne ISR payloads, unmanned systems, chemical detection, and surveillance. Meaningful non-defence commercial exposure (~40-50%) across maritime electronics, industrial automation, and automotive sensing.	05/14/2021	Majority	United States	17.1x	15.1x
L3 Technologies, Inc.	Private	Merger/Acquisition	L3Harris Technologies, Inc. (NYSE:LHX)	BlackRock, Inc. (NYSE:BLK); The Vanguard Group, Inc.; ClearBridge Investments, LLC	US defence electronics and ISR company across three segments: ISR Systems (airborne surveillance, night vision, space avionics), Communications & Networked Systems (secure data links, naval power, satellite comms), and Electronic Systems (weapon fuzing, power systems, pilot training). ~80% US government revenue. Merged with Harris Corporation in 2019 to form L3Harris Technologies.	06/29/2019	Majority	United States	13.8x	12.2x
ManTech International Corporation	Private	Merger/Acquisition	The Carlyle Group Inc. (NasdaqGS:CG)	BlackRock, Inc. (NYSE:BLK); The Vanguard Group, Inc.; Dimensional Fund Advisors LP; The Pedersen GST 2022 Trust; The Pedersen Nonexempt 2022 Trust	Pure-play US government IT and cyber services provider serving the intelligence community, DoD, and federal civilian agencies. Core capabilities: full-spectrum cyber operations, secure enterprise IT, advanced data analytics, and software development. ~100% US government revenue. Taken private by Carlyle Group in 2022 for \$4.4B.	09/14/2022	Majority	United States	13.7x	12.1x

We screened for closed M&A transactions involving aerospace and defence targets with comparable multi-domain scope, defence electronics and platform integration focus, and Western-allied government customer bases, with two adjustments applied: a discount for lack of control on majority-stake acquisitions to strip out the control premium embedded in headline deal prices, and a marketability premium on transactions involving private or non-publicly listed targets to reflect the liquidity advantage BAE's shares carry as a FTSE 100 constituent.

The resulting 12.1x to 19.4x range (implying £15.60 to £25.37) sits below the trading comps range because historical deal multiples, even before our adjustments, were struck in varying market conditions over multiple years, whereas the trading comps capture today's elevated defence sentiment in real time. The adjustments compress the range further by removing the control and liquidity premia that would not apply to a minority shareholding in a publicly traded company.

The upper end (19.4x) still overlaps with the lower half of the trading comps (14.6x), confirming both approaches converge in the 15x to 19x zone, which is consistent with BAE's current 16.8x and the previous close of £21.50 (as of 5 March 2026), suggesting the stock is fairly valued within a defensible corridor.

Enterprise Value to Equity Value Bridge

To move from the implied enterprise value (which represents the value of the entire business, owed to all capital providers) to the implied equity value (the portion belonging to ordinary shareholders only), we deducted all claims that rank ahead of common equity, such as total debt, non-controlling interest, preferred stock, and net pension obligations, and added back non-operating assets that belong to equity holders but are not captured in the EBITDA used for the multiples, including cash and short-term investments, and long-term investments (primarily BAE's 37.5% stake in the MBDA missiles joint venture). The net adjustment was then applied to each implied enterprise value, and the resulting equity value was divided by outstanding shares to arrive at the indicative share price ranges as shown in the valuation summary.

Risks

Overview

BAE Systems' risk profile centres on its dependence on government defence budgets, which account for 96% of its sales, concentration in long-term fixed-price contracts, and exposure to geopolitical uncertainties across four main markets (US, UK, Australia, Saudi Arabia).

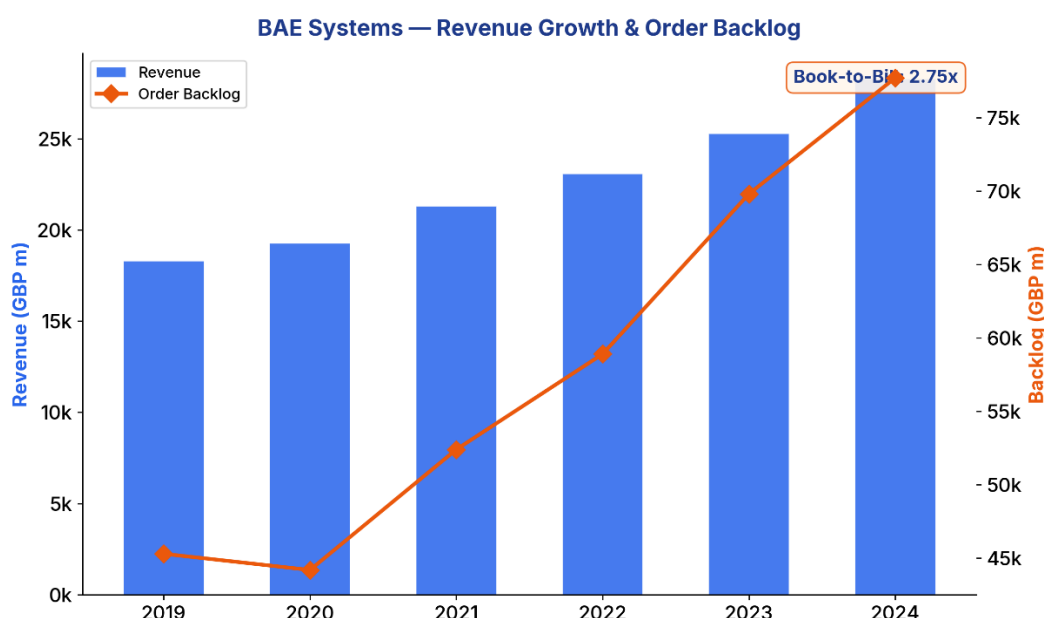
Metric	FY2020	FY2021	FY2022	FY2023	FY2024	Trend
Order backlog (£bn)	45.2	44.0	58.9	69.8	77.8	+72%
Order intake (£bn)	20.9	21.5	37.1	37.7	33.7	Volatile

Top 3 customer concentration	70%	69%	68%	69%	71%	Stable
Defense sales (%)	95%	95%	95%	94%	96%	Stable
Major injuries	37	32	32	40	47	+27%

This table shows two clear trends. First, order backlog grew substantially over the period. Second, BAE's safety record worsened, with major injuries rising 27% since 2020.

Company-Specific Risks

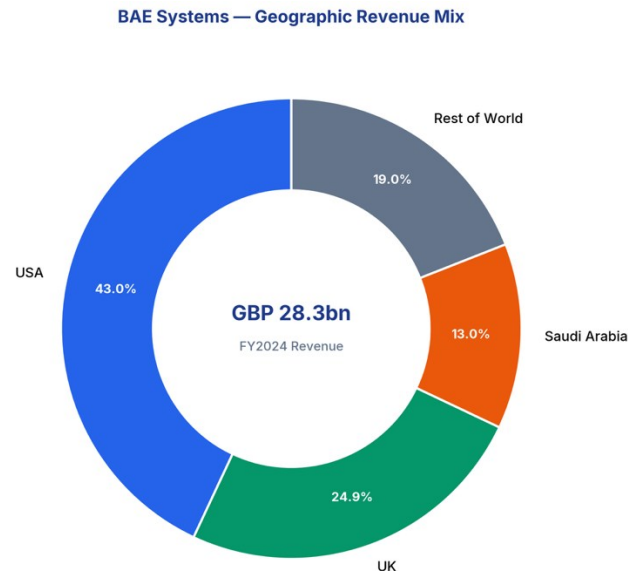
- Contract Execution & Fixed-Price Exposure.** In FY2024, half of group sales came from 18 programmes, with 11 carrying backlogs exceeding £1bn. Fixed-price contracts carry risks from inflation, supply-chain disruption, or technical complexity that could directly squeeze near-term margins. BAE manages this through quarterly programme reviews and an allowance for contract losses, but overruns on a single large programme can still be material.



- Supply Chain Concentration.** BAE relies on some single-source suppliers for specialised components in munitions, combat vehicles, and naval platforms. Any supplier distress or shortages can cause programme delays or trigger penalty clauses. The company has started dual-sourcing critical inputs, but progress is uneven across divisions.
- Safety Performance Deterioration.** Major injuries rose 27% between 2020 and 2024, and the recorded accident rate climbed 8% in 2024 alone. Notably, safety was elevated to a standalone principal risk in FY2023, signalling board-level concern. If the trend continues, it could affect contract eligibility for safety-sensitive programmes.
- Cybersecurity threat.** BAE is one of the main defence contractors holding classified information across the US, UK, Australia, and other allied nations, which requires an extremely high standard of data security. A successful breach could damage the company's trustworthiness and erode customer confidence, potentially leading to contract suspensions.

Industry & Macro Risks

- Government Spending Dependency.** 96% of BAE's revenue comes from defence, and 70% is concentrated in four government customers (US, UK, Australia, Saudi Arabia). While historically stable — and currently boosted by NATO's push beyond 2% of GDP — this concentration means any shift in political priorities could compress future order intake.



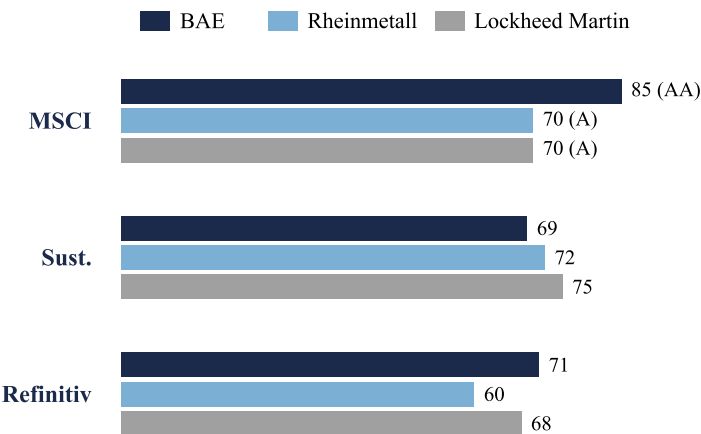
- Geopolitical & Export Control Risk.** BAE's international sales depend on export licences that can be revoked if policies change. Uncertainty persists across its main markets — for instance, new US tariff measures or escalating conflicts in the Middle East could directly affect new orders.
- Foreign Exchange Sensitivity.** BAE earns significant revenue in USD, EUR, SAR, and AUD, and hedges roughly 80% of its USD exposure on a one-year rolling forward basis. If currency markets become volatile beyond the hedge window, the residual exposure could generate considerable losses — particularly on the GBP/USD cross, which drives the biggest mismatch.

ESG

Overview

As a defence company in one of the most regulated sectors, BAE Systems faces ethical scrutiny from certain investors. BAE holds an MSCI ESG rating of AA which outperforming peers like Lockheed Martin (A), Northrop Grumman (A), and Raytheon (BBB), and its overall ESG performance sits above the industry average.

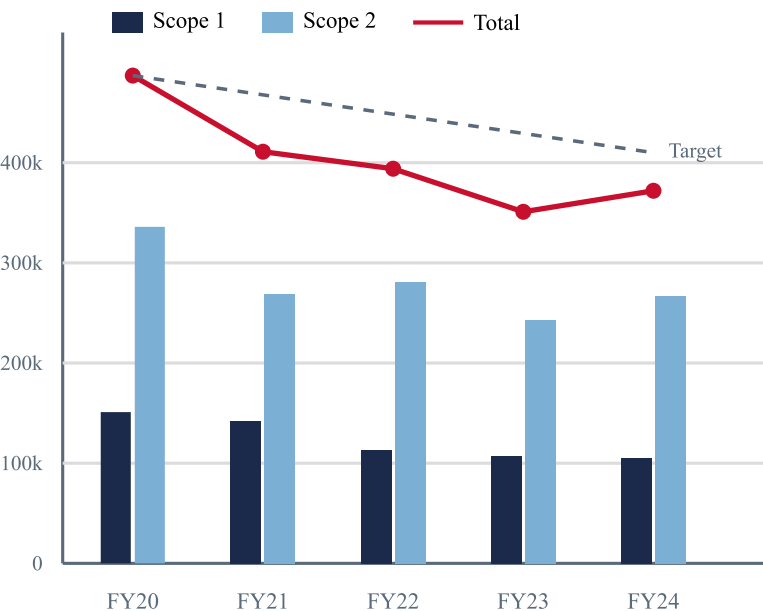
ESG Ratings Comparison (Normalised 0–100)



Environmental

Decarbonisation Strategy & Targets. BAE committed to net-zero Scope 1 and 2 emissions by 2030 at COP26 in 2021, with a longer-term ambition of full net-zero by 2050. The internal target is a 4.2% year-on-year reduction. In 2024, BAE achieved a 6.0% cut (excluding the SMS acquisition), outperforming the annual goal. However, including SMS, total emissions rose 6.0%.

GHG Emissions — BAE Systems (FY2020–FY2024)



Renewable Energy Transition. BAE established a new renewable energy strategy in 2024, securing power purchase agreements for solar and wind projects. In the UK, 44% of electricity requirements now come from renewable sources. The company is considering integrating decarbonisation measures into new-build and renovation projects across its UK estate.

Climate Risk Management. BAE has assessed all 510 global sites for climate-related risks, with 66 flagged as having higher exposure. These findings and corresponding mitigation plans have been integrated into business continuity planning. While BAE follows TCFD guidelines, full Scope 3 disclosure is still pending, with the gap expected to be closed by 2026.

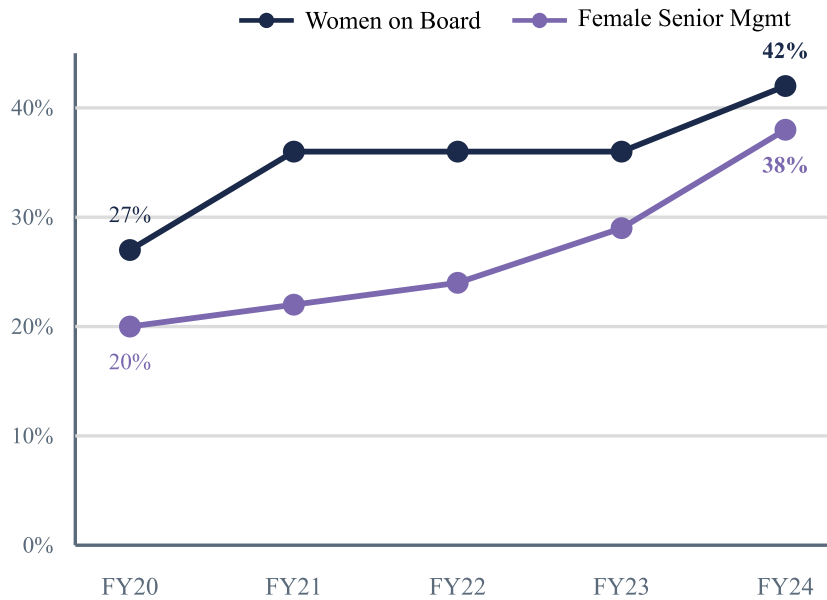
Social

Workforce. BAE employs 107,400 people across 40+ countries which has grown headcount by 20% since 2020 driven by the Ball Aerospace and SMS acquisitions. In the UK, 2,300 graduates and apprentices joined early-careers programmes in FY2024. On diversity, women's representation on the Board has risen from 27% to 42% over the past five years, and senior management female representation went from 20% to 38%.

Ethics & Culture. BAE's ethics programme is well-established. In 2024, the Ethics Helpline received 1,722 reports (up 12% from 2023), with 99% of employees completing Code of Conduct training. The anonymity rate of 27% which is well below the 56% global benchmark, and 53% of reports going directly to Ethics Officers suggest a culture where staff feel comfortable raising concerns. There were 351 dismissals for unethical behaviour in 2024, reflecting zero tolerance for misconduct in practice.

Supply Chain. BAE's Supplier Principles are communicated to all 21,500 directly contracted suppliers. In FY2024, BAE completed risk-based assurance covering suppliers representing 34% of global spend. Standard terms require compliance with applicable human rights, anti-slavery, and environmental laws.

Gender Diversity Progress — BAE Systems (FY2020–FY2024)



Governance

Board Oversight & ESG Governance. BAE complies with the 2018 UK Corporate Governance Code. The former Corporate Responsibility Committee was renamed as the ESG Committee in 2021 and given expanded scope covering climate transition plans — timed with BAE's COP26 net-zero pledge. Since 2021, ESG targets have been tied to executive incentive structures, so senior leadership has direct incentives on sustainability delivery.

Anti-Corruption. Given the defence sector's history of bribery and corruption risk — especially in international and government-to-government deals, BAE runs a zero-tolerance anti-corruption programme that covers identification and mitigation of corruption risk across all jurisdictions. All employees receive mandatory annual ethics training, as well as role-specific modules on export controls and data protection.

Regulatory Compliance. BAE operates in one of the most heavily regulated sectors, subject to rules covering trade controls, data protection, product safety, and anti-bribery legislation in every jurisdiction where it operates. The Group's Operational Framework mandates policies and standards across all operations, with six-monthly management self-assessments of compliance.

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